Demand Side Management Concepts:

Involvement of aggregators and consumers toward demand side aims at:
(i) improvement of power system,
(ii) increasing efficiency, and
(iii) producing good quality power,

This can be broadly termed as demand side activities or demand side management. The demand side management (DSM) broadly includes various actions covered under the terms, namely:

A. demand response (DR),
B. energy efficiency (EE), and
C. energy conservation (EC)

B. <u>Demand Response</u>: broadly refers to a mechanism for communicating prices between wholesale and retail electricity markets, with the immediate objective of achieving load changes, especially at high wholesale price periods.

C. <u>Energy Efficiency</u>: Energy efficiency can be defined as requiring less energy by improving design of equipments or using advanced technology for the same level of service (heating, lighting, etc.) or level of activity. It also includes improving efficiency in energy extraction, energy conversion and energy transportation.

D. <u>Energy Conservation</u>: Energy conservation can be defined as reduction in the amount of energy consumed in a process or system, or organization or society, through economy, elimination of waste, and rational use. Energy conservation means encourages reducing or saving nonrenewable energy for example making simple changes like walking, riding a bike and using public transportation instead of driving own vehicle. These simple changes can also greatly reduce the amount of pollution in the air.